TUTORIAL SESSION 2 – MASTER BUDGETING

EXERCISE 1

The marketing department Of Jessi Corporation has submitted the following sales forecast for the upcoming fiscal year (all sales are on account).

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Budgeted unit sales	11,000	12,000	14,000	13,000

The selling price of the company's product is $18.00 per unit. Management expects to collect 65% of sales in the quarter in which the sales are made, 30% in the following quarter, and 5% of sales are expected to be uncollectible. The beginning balance of accounts receivable, all of which is expected to be collected in the first quarter, is $70,200.

The company expects to start the first quarter with 1,650 units in finished goods inventory.

Management desires an ending finished goods inventory in each quarter equal to 15% of the next quarter's budgeted sales. The desired ending finished goods inventory for the fourth quarter is 1,850 units.

Requirement:

1. Calculate the estimated sales for each quarter of the fiscal year and for the year as a whole.
2. Calculate the expected cash collections for each quarter of the fiscal year and for the year as a whole.
3. Calculate the required production in units of finished goods for each quarter of the fiscal year and for the year as a whole.

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EXERCISE 2

The production department of Hruska Corporation has submitted the following forecast of units to produced by quarter for the upcoming fiscal year:

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be produced	12,000	10,000	13,000	14,000

Each unit requires 0.2 direct labor-hours and direct laborers are paid $16.00 per hour.

In addition, the variable manufacturing overhead rate is $1.75 per direct labor-hour. The fixed manufacturing overhead is $86,000 per quarter. The only noncash element of manufacturing overhead is depreciation, which is $23,000 per quarter.

Requirement:

1. Calculate company's total estimated direct labor cost for each quarter of the upcoming fiscal year and for the year as a whole.

2. Calculate the company's total estimated manufacturing overhead cost for each quarter of the upcoming fiscal year and for the year as a whole.

3. Calculate the company's cash disbursement for manufacturing overhead for each quarter of the upcoming fiscal year and for the year as a whole.

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EXERCISE 3

The production department of Zan Corporation has submitted the following forecast of Units to be produced by quarter for the upcoming fiscal year:

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be produced	5,000	8,000	7,000	6,000

In addition, 6000 grams of raw material inventory on hand at the start of the 1st Quarter and the beginning accounts payable for the 1st Quarter is $2,880.

Each unit requires 8 grams of raw material that costs $1.20 per gram. Management desires to end each quarter with any inventory of raw materials equal to 25% of the following quarter's production needs. The desired ending inventory for the 4th Quarter is 8,000 grams.

Management plans to pay for 60% of raw material purchases in the quarter acquired and 40% in the following quarter.

Each unit requires 0.20 direct labor-hours and direct laborers are paid $15 per hour.

Requirement:

1. Calculate estimated grams of raw material that need to be purchased each quarter and for the year as a whole.

2. Calculate the cost of raw material purchases for each quarter and for the year as a whole.

3. Calculate the expected cash disbursements for purchases of materials for each quarter and for the year as a whole.

4. Calculate the estimated direct labor cost for each quarter and for the year as a whole.